

Measure rule. The first thing to consider about trading tactics is the measure rule. The measure rule predicts the price to which the stock will move (in theory). For many chart patterns, one simply computes the height of the chart pattern and adds or subtracts the height from the breakout price. Apply the same method to broadening tops.

Consider [Figure 11.5](#) as an example. The height of the broadening top is the difference between the highest high (B, 12.13) and the lowest low (A, 10), or 2.13. For upward breakouts, add the height to the highest high in the chart pattern, giving a target of 14.26, as shown in the figure.

For downward breakouts, subtract the height from the bottom of the pattern, giving a target of 7.87. If the computation gives a target below zero, then don't use the measure rule. If the target is too far away (21% in this case), there's a good chance price won't drop that far. Use common sense.